# Raghav Productivity Enhancers Ltd

Concall Tracker — is there a durable earning trigger, and has management been consistent about it?

Ticker RPEL | BSE 539837 | formerly Raghav Ramming Mass Ltd | Report date: 4 July 2026 | Path: NO-CONCALL web deep-dive

## 1. Snapshot

**What the business does (one line):** Raghav is the world's largest maker of **silica ramming mass** — the heat-resistant sand-and-chemical lining that is packed into the inside of an **induction furnace** (an electric furnace that melts scrap steel). It is a *consumable*: the lining wears out and must be replaced regularly, so every steel plant, foundry and casting unit that runs an induction furnace keeps buying it. Raghav sells a premium, longer-lasting version and charges more for it.

| Number (FY26, year to Mar-2026) | Plain-English read |
|---|---|
| **Market value ≈ ₹4,500 crore** | What the whole company is worth on the stock market — a small/mid-cap. (Share ≈ ₹970; 52-week range ₹561–₹1,066.) |
| **Sales ₹257 crore (up ~29%)** | Total money earned from selling ramming mass in the year — grew about a fifth-and-a-half faster than the ₹200 crore of the year before. |
| **Net profit ₹55 crore (up ~48%)** | Money left after all costs and tax — nearly half again bigger than last year's ₹37 crore. Profit grew much faster than sales, meaning each rupee of sales earned more. |
| **Operating margin ~29%** | EBITDA margin = operating profit before interest, tax and depreciation, as a share of sales. Out of every ₹100 of sales, ~₹29 is operating profit — very high for a manufacturer, and it has climbed from ~23% five years ago. |
| **Borrowings ₹5 crore** | Debt is tiny against ₹245 crore of shareholder money — the company is effectively debt-free, so it funds growth from its own cash. |
| **Return on capital (ROCE) ~30%** | Profit earned for every ₹100 of capital put into the business — ~₹30, which is excellent and shows the business is genuinely high-quality, not just growing. |

## 2. Coverage

**No concall transcripts were available on Screener — this report is based on a global web deep-dive.** Screener carries only Raghav's *investor-presentation slide decks* (the files marked "PPT"), not question-and-answer earnings-call transcripts. So management's own words are read from its official investor decks, cross-checked against the financials and independent news/analyst coverage.

**Sources used:**

- **Company investor decks** (filed with the BSE / on rammingmass.com): FY26 deck "10 Years of Excellence" (24 Apr 2026), FY24 15th-AGM deck (3 Aug 2024), plus the FY22/FY23/FY25 decks for the multi-year target comparison.
- **Company financial statements** pulled from Screener.in (profit & loss, quarterly, balance sheet, cash flow, ratios, shareholding — FY21 to FY26).

- **News / results coverage:** ScanX (FY26 results, board-meeting notice), MarketsMojo (Q4 FY26 analysis), Multibagg.ai (FY26 10-year review), CRISIL rating page (Jul 2025), Groww / StockAnalysis / Tijori for price and market-cap.
- **Official BSE/NSE filing:** Investor Presentation March 2026 (RPEL, 24 Apr 2026).

Note: no true Q&A concall transcript exists on Screener for this company, so the "consistency" read leans on management's written slide targets over the years rather than spoken answers. That is a slightly weaker evidence base than a transcript, and is flagged in Section 4.

## 2b. Latest update highlights — FY26 results & investor deck (24 Apr 2026)

### Freshest signal (source: FY26 investor deck + Q4 FY26 results)

- **Record year.** FY26 sales ₹257 crore (up ~29%) and net profit ₹55 crore (up ~48%) — both the highest ever. *The company sold more and kept more of it.*
- **Strongest-ever quarter.** Q4 FY26 (Jan–Mar 2026): sales ₹71 crore (+39% vs a year earlier), operating profit ₹21 crore (+47%), net profit ₹15 crore (+50%), volume 90 thousand tonnes (+38%). *Growth is accelerating, not fading.*
- **Big capacity expansion announced.** Group capacity is being lifted from 414,000 to **534,000 tonnes a year** (+120,000, ~29% more) for a small spend of about ₹20 crore, targeted operational by **October 2026.** *A cheap, brownfield add that gives room to keep growing volumes.*
- **Running nearly full.** Plants ran at **~87% utilization** in Q4 FY26. *Only ~13% spare capacity left — which is exactly why the new expansion matters.*
- **Only soft spot — exports.** Export growth was "muted due to Iran-war-related disruptions"; management says exports "resumed normalcy from April 2026" with customers absorbing higher freight. Some inventory built up in March on supply-chain caution. *A temporary, external hit rather than lost demand.*
- **Tone:** confident — "healthy customer addition led by successful trials; strong demand visibility." Final dividend of ₹1 approved at the 17th AGM (30 Jun 2026).

## 2c. Business mix & capacity

**Domestic vs export split (FY26):** Exports were ~80 thousand tonnes of the ~332 thousand tonnes sold, i.e. roughly **24% exports / ~76% domestic** by volume (management reports volumes, not a clean revenue % split — a precise domestic/export *revenue* split is not separately broken out). *About three-quarters of what Raghav sells stays in India; a quarter is shipped abroad to 39 countries — it is India's largest exporter of ramming mass.*

**Capacity utilization:** ~87% in Q4 FY26. *The factories are close to full, so the October-2026 expansion (414k → 534k tonnes) is needed to keep growing output.*

**Market share:** ~14% of India's silica-ramming-mass market today, up from ~3.5% at listing (FY16); management is **targeting 30%.** *Plenty of room to keep taking share from small, unbranded local makers.*

## 3. Earning Trigger thesis

### The headline driver

Raghav's earnings engine is a **volume-plus-margin flywheel**: it keeps **adding cheap capacity** and filling it by **taking market share** from small local rivals, while **charging a premium** for a longer-lasting, custom-fitted product. On top of that sit two live expansion levers — **exports** (now 39 countries) and a pipeline of higher-value products (**value-add silica** such as artificial-marble and semiconductor-grade material, and deeper push into the **foundry** segment). The near-term proof is concrete: capacity is going up ~29% by Oct-2026 into plants already ~87% full, and FY26 profit rose ~48%. The structural tailwind is that **induction-furnace steelmaking keeps gaining share of India's steel output** — every new induction furnace is a recurring buyer of ramming mass.

| Trigger | What management says | Evidence so far | Time horizon | Strength |
|---|---|---|---|---|
| **Capacity expansion** 414k→534k tonnes/yr | +120k tonnes for ~₹20 cr, live by Oct 2026; brownfield, low capex | Already went 288k (FY24) → 414k (FY25) as promised; plants at ~87% so the add is justified | Live now → FY27 | **Strong** — concrete, cheap, and past adds were absorbed fast |
| **Market-share gains** | Grow from ~14% to 30% of India's market | Share rose 3.5%→14% over 10 years; ~40% volume CAGR-type growth in Q4 | Multi-year | **Strong** — long, unbroken track record of taking share |
| **Premium pricing / margin** | "Highest price, lowest cost" — raise realisation every year | Operating margin climbed ~23%→~29% over 5 years; ROCE ~30% | Ongoing | **Strong** — margins have genuinely expanded |
| **Exports** | India's largest exporter; keep adding countries | Export volume 13k(FY20)→80k(FY26) tonnes; but FY26 growth muted by Iran war | Ongoing | **Moderate** — strong long trend, near-term geopolitical wobble |
| **Value-add / new products** (artificial marble, semiconductor crucibles, foundry) | Use R&D to enter higher-value silica markets and scale foundry sales | Stated intent + R&D lab (DSIR-recognised); little revenue disclosed yet | 2–4 years | **Unproven** — promising optionality, not yet in the numbers |

## 4. Management Consistency scorecard

| Period / promise made | What was promised | What actually happened | Verdict |
|---|---|---|---|
| FY24 deck (Aug 2024) | New plant added 108k tonnes to reach 288k; a further new line would "double capacity" at minimal capex | Capacity went 288k (FY24) → 414k (FY25) → expanding to 534k by Oct-2026 — the promised further line was built | **Delivered** |
| Across all decks | | | **Delivered** |

| | | | |
|---|---|---|---|
| | Keep taking domestic market share via premium, custom product | Share 3.5%(FY16)→11%(FY22)→14%(FY26); steady, decade-long climb | |
| Across all decks | "Improve realisation / margin every year" | Operating margin 23%(FY21)→30% (FY24)→29%(FY26); ROCE ~30%. FY25 dipped to 27% then recovered | **Delivered** |
| FY24 deck growth levers | Grow exports; add new clients; scale foundry segment | Export volume up (61k→80k tonnes) but FY26 growth muted by Iran war; new clients added via trials; foundry still small | **Partly** |
| FY24 deck | New plant designed to make higher-value / value-add products | Now framed as "value-add silica" (artificial marble, semiconductor crucibles); still early, little revenue shown | **Too-early** |
| FY23→FY24 (a caution flag) | Continuous revenue growth | FY24 revenue actually dipped (₹137cr→₹133cr) even as volume rose — a realisation soft-patch — before rebounding hard in FY25/26 | **Partly** |

**Narrative drift:** Remarkably steady. The story has been the same for a decade — premium product, cheap in-house-designed capacity, share gains, exports, and a slow move up the value chain — and management has largely done what it said, especially on capacity (the single most important promise) and margins. The only wrinkles are (i) a one-year revenue soft-patch in FY24 when volumes grew but pricing/mix dipped, quickly reversed; (ii) exports hitting an external, geopolitical air-pocket in FY26; and (iii) the value-add-products ambition that has been talked about since FY24 but is not yet visible in the numbers. The tone across decks is consistently confident, and it has been backed by delivery rather than being pure promotion. Promoter holding is rock-steady at ~62.9% with no pledging — skin in the game and no dilution.

## 5. Bottom line — two verdicts

### Durable earning trigger? → YES

There is a clear, concrete, still-live driver and it is visibly playing out. Raghav is expanding capacity ~29% (into plants already ~87% full) at trivial cost, it keeps taking market share (14% and aiming for 30%), and it has expanded margins to ~29% while staying debt-free with ~30% return on capital. FY26 delivered ~29% sales growth and ~48% profit growth, and the structural tailwind — rising share of induction-furnace steelmaking, whose furnaces are recurring buyers of this consumable — is intact. Exports and value-add products add further optionality on top. The one honest caveat is that the exciting *new* legs (value-add silica, semiconductor-grade) are unproven, but the core flywheel alone justifies a YES.

### Management consistent? → YES

Across a decade of investor decks the story has stayed the same and, on the things that matter most, management has delivered: the promised capacity doublings were actually built, market share and margins climbed as claimed, the balance sheet stayed debt-free, and promoter ownership is steady at ~62.9% with no pledging. The blemishes are minor and mostly external — a one-year revenue soft-patch in FY24 (quickly reversed) and an Iran-war export wobble in FY26 — plus a value-add-products ambition that is taking longer to show up than the slides imply. Weighing delivery against these, the record is clearly one of a consistent, credible management. (Caveat: this read is built on written slide targets and results, not a spoken Q&A concall transcript, which Screener does not carry for this company.)

Prepared 4 July 2026 — concall-tracker, NO-CONCALL web deep-dive path. Figures in ₹ crore unless stated; "tonnes" = metric tonnes per annum of capacity/volume. Acronyms: EBITDA = operating profit before interest, tax and depreciation; ROCE = return on capital employed; MTPA = tonnes per year; IF = induction furnace; ramming mass = the heat-resistant silica lining packed inside a furnace. This is a research summary, not investment advice.